



MERALCO INDUSTRIAL ENGINEERING SERVICES CORPORATION

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For: **Business Unit Heads**

EPC

DUS

Telecoms

UAM

Support Group

From: **Atty. Archimedes G. Robillos**

Head, Labor Relations

Ricardo L. Concepcion

Head, Corporate Labor Relations

Rita D. Bantigue

Head, Corporate Human Resources and Transformation

Re: **UNIFORM RULES IN THE IMPOSITION
OF PREVENTIVE SUSPENSION**

WHEREAS, Section 8, Rulle XXIII of the Omnibus Rules Implementing the Labor Code, as well as Section 4 of DOLE D.O. No. 19, series of 1993, allows the employer to place an employee under preventive suspension.

WHEREAS, Corporate Labor Relations, upon consultation with the Corporate Human Resources and Transformation, have agreed to formulate the company's rules in the imposition of preventive suspension.

NOW THEREFORE, in view of the foregoing, it is hereby resolved that the following shall serve as the ***Uniform Rules on the Imposition of Preventive Suspension*** within MIESCOR and its subsidiaries:

Section 1. Who may be placed under preventive suspension–

Any employee may be placed under preventive suspension, should the acts which constitute the offense charged against him/her involves a serious and imminent threat to the life or property of the company, or any of his/her co-worker(s).

Section 2. Who may impose. –

The imposition of preventive suspension shall be made through the Notice to Explain, following an initial assessment of Labor Relations finding that the continued

presence of the employee charged poses a serious and imminent threat to the life or property of the company, or any of his/her co-worker(s).

The Business Unit Heads, may, in cases when there is an urgent need for immediate action, place an employee under his/her Business Unit on preventive suspension, through a Memorandum Notice addressed to the employee concerned, copy furnishing the Labor Relations and the CHRT.

A copy of said notice shall then be placed in the 201 File of the employee.

Section 3. *Duration.* –

The Preventive suspension to be imposed shall not exceed thirty (30) days, unless in cases where the employee concerned is a project employee working under a contract for construction works. In which case, the maximum preventive suspension shall be for fifteen (15) days, based on Sec. 4 of DOLE D.O. No. 19, series of 1993. In all cases, such number of days of preventive suspension shall be clearly indicated in the Notice to Explain or Memorandum, as the case may be, and shall commence on the date of its receipt.

Before the expiration of the period of preventive suspension, the employee shall be notified by Labor Relations, informing him/her either to report back for work, or that his preventive suspension has been extended.

Section 4. *Extension.* –

In the event when, for some unavoidable reasons, preventive suspension is to be extended beyond the above periods, the period of extension shall be paid accordingly. The period of extension shall however not exceed thirty (30) days.

Section 5. *Prohibitions.* –

During the period of preventive suspension, the employee concerned shall be prohibited from entering the company's premises, except when his attendance is required by Labor Relations during the investigation of his/her case.

Section 6. *Surrender of company properties.* –

The employee concerned is not allowed perform his/her usual work during the period of preventive suspension. As such, company properties issued to the employee, used in the performance of his/her works, such as laptops, mobile phones, and the likes, shall be temporarily placed in the possession of the company, through his/her immediate superior before serving the preventive suspension.

Section 7. *Payroll lock.* –

As a general rule, those under preventive suspension shall not be placed on payroll-lock. Its imposition shall be on a case-to-case basis and only upon recommendation of Labor Relations, after taking into consideration the need for the employee's last salary to answer for such amount which directly relates to the acts for which he/she is charged, such as, but not limited to, misappropriation of company funds, theft, or damage to company property.

In imposing payroll lock, Labor Relations shall indicate that fact, in a separate note, upon endorsing the Notice to Explain to the HRBP concerned. Before the service and implementation of the NTE, the attached note shall be forwarded to the CBDI, for proper implementation.

Section 8. *Lifting of payroll lock.* –

The payroll-lock shall be automatically lifted after serving the preventive suspension, or any extension thereof. It may also be lifted during the period of preventive suspension, if upon recommendation of the Labor Relations, it found that further placing the employee under payroll-lock is no longer necessary. In all cases, the corresponding notice of lifting of payroll lock shall be issued by Labor Relations to the CBDI and HRBP.

Section 9. *Payment of benefits.* –

The payment of mandatory benefits whose payout falls within the period of preventive suspension, unless if under payroll lock, shall be paid accordingly. Other Company benefits which are considered non-mandatory, shall be placed on hold during that period.

Section 10. *Compensation.* –

Preventive suspension shall not be compensable, even in cases where the employee concerned shall be subsequently absolved of the charges against him/her. Unless on extremely meritorious grounds, the Management Discipline Committee, may, upon the recommendation of Labor Relations, decree that the period of preventive suspension, or a part thereof, be compensated. Extreme meritorious grounds include:

- a.) A finding that the basis for the charges against the employee concerned was fabricated, fraudulent, or malicious; or
- b.) A finding that non-compensation to the period of preventive suspension will result to injustice on the part of the employee; or
- c.) Any other reasons which the Management Discipline Committee deems just and equitable under the attending circumstances.

Section 11. *Suspension as a penalty.* –

Should the employee concerned be subsequently penalized with suspension, such penalty shall be served on top of the preventive suspension. Unless for reasons based on equity and/or liberality on the part of the Management Discipline Committee, the penalty to be imposed may be charged against the period of preventive suspension already served. In that case, the remaining days served as preventive suspension, may be compensated.

Section 12. *Effectivity.* –

The foregoing rules shall take effect on March 1, 2024.

Cc:

Office of the President

Office of the Head, Operations Group

HR Shared Services

HRBP

CBDI